



Cash flow

The money coming into and going out of a business is called cash flow. Inflows arise from financing, operations, and investment, while outflows include expenses, costs of raw materials, and capital costs.

Capital

Investment and lump sums

- › Main source of cash inflow for start-ups
- › Additional cash injection after the initial start-up
- › Revenue from flotation (going public) of private companies, and from shares issued by public companies
- › Also known as cash flow from investing activities

Sales revenue

Cash for goods and services sold

- › Revenue generated by core operations
- › Profit that does not have to be repaid, unlike loans or capital
- › Payment received for goods and services provided
- › Also known as cash flow from operating activities

